Absorbing Transition DID Results: AKM Restatement Good — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.020		-0.036*		0.001
		(0.025)		(0.020)		(0.025)
× Voluntary Rotation		-0.008		-0.023***		0.009
		(0.010)		(0.006)		(0.009)
Pooled	-0.019**		-0.028***		0.000	
	(0.008)		(0.004)		(0.007)	
Mandatory − Voluntary		-0.012		-0.012		-0.007
Difference p-value		0.653		0.545		0.784
Observations	46,214	40,034	46,214	40,034	46,214	40,034
Firms	5,303	5,105	5,303	5,105	5,303	5,105
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.062**		-0.059***		-0.027
		(0.028)		(0.022)		(0.021)
× Voluntary Rotation		-0.017		-0.037***		0.006
		(0.013)		(0.009)		(0.011)
Pooled	-0.024**		-0.039***		0.000	
	(0.012)		(0.008)		(0.010)	
Mandatory − Voluntary		-0.045		-0.022		-0.033
Difference p-value		0.143		0.367		0.153
Observations	25,945	24,021	25,945	24,021	25,945	24,021
Firms	3,001	2,962	3,001	2,962	3,001	2,962
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.025**		-0.021***		-0.013
		(0.011)		(0.006)		(0.010)
× Voluntary Rotation		-0.018***		-0.027***		-0.001
		(0.005)		(0.003)		(0.005)
Pooled	-0.028***		-0.032***		-0.008**	
	(0.004)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.007		0.006		-0.012
Difference p-value		0.541		0.318		0.257
Observations	54,755	48,222	54,755	48,222	54,755	48,222
Firms	5,521	5,372	5,521	5,372	5,521	5,372
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.025**		-0.024***		-0.014
		(0.011)		(0.007)		(0.009)
× Voluntary Rotation		-0.018***		-0.029***		0.000
		(0.005)		(0.003)		(0.004)
Pooled	-0.027***		-0.032***		-0.007**	
	(0.004)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.007		0.004		-0.014
Difference p-value		0.567		0.562		0.182
Observations	56,178	49,619	56,178	49,619	56,178	49,619
Firms	5,521	5,403	5,521	5,403	5,521	5,403
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.